CPI LUXURY GROUP
10220 Norris Avenue
Pacoima, CA 91331

WEBSITE
www.cpilg.com

CLOSING DATE
June 30, 2016

AAVIN INVESTMENT
$5,000,000

TTM* REVENUE
$20,386,000

TTM* EBITDA
$2,696,000

TTM* EBITDA MARGIN
13.2%

STAGE/TRANSACTION TYPE
Recapitalization

GEOGRAPHY
Pacific (WA, OR, CA, AK, HI)

INDUSTRY
NAICS Code 423940, Jewelry, Watch, Precious Stone, and Precious Metal Merchant Wholesalers

REFERRAL SOURCE
Business Capital

RECOMMENDING DIRECTORS
Thies Kolln and
David Schroder

*TTM as of 5/31/16

AAVIN
PRIVATE EQUITY

INVESTMENT SUMMARY

BUSINESS SUMMARY

CPI Luxury Group, Inc. ("CPI" or the "Company") imports and wholesales pearls and other related jewelry products. The Company purchases freshwater pearls direct from farmers in China, has the pearls processed in Hong Kong (drilling, bleaching and stringing operations) and imports the pearl strings to the United States. At its location in Los Angeles, the Company categorizes the pearls and does final assembly, boxing and shipping to stores or directly to end customers. The Company is the primary pearl provider to a number of large national accounts, including Macy's, JC Penney, Fred Meyer, Helzberg and Kohl's. CPI sells not only generic pearl jewelry, but also branded product to certain accounts (Belle de Mer to Macy's, Joy de Mer to Fred Meyer). Since 2011 the Company has also sold through an Amazon storefront as pearlzzz.com and since 2013 direct to Amazon's curated products program.

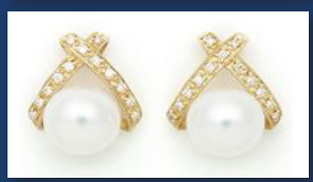
FINANCING

CPI completed a recapitalization transaction to replace $24,518,375.93 of revolving loans owed to its previous lender, Salus Capital. Capital for the refinancing was provided through a $25,000,000 revolving credit facility from East West Bank, (of which $20,323,239.80 was drawn at closing) and a $5,000,000 senior subordinated loan from Aavin. Aavin received a 2% closing fee on the subordinated loan. Aavin has no equity interest in the Company.

AAVIN INVESTMENT

Aavin invested a total of $5,000,000 in this transaction, all in Subordinated Debt. The Subordinated Debt has a 17.5% current yield interest, no scheduled payments of principal and matures in five years. Aavin has no equity interest in the Company. Aavin has the right to have one observer attend all board meetings and receive all board communications.

	Ownership %	Total Investment	Subordinated Debt	Preferred Equity	Common Equity
AEP II	-	$1,445,189	$1,445,189	-	-
AMF	-	3,554,811	3,554,811	-	-
TOTAL	-	$5,000,000	$5,000,000	-	-

MANAGEMENT

The Company is very dependent on the experience and connections of its CEO, Harold Jabarian, both in obtaining its supply of pearls at favorable prices and selling to its major customers. For this reason, a key man life insurance policy is in place on Mr. Jabarian that is collateral exclusively for Aavin's subordinated debt.